

Spillover Effects: How the Middle East crisis threatens food security - Focus on Myanmar



WFP MYANMAR COUNTRY OFFICE

Date Released: 9 July 2026 / Reporting period: week of 29 June

Overview

The Iran–United States crisis in 2026 has evolved from a high-intensity conflict into a fragile and uncertain de-escalation phase, but its global repercussions remain significant and ongoing. While recent pauses in military exchanges and indirect negotiations have reduced immediate violence, disruptions to the Strait of Hormuz—through which around one-fifth of global oil supply flows—have already triggered sharp increases in energy prices, supply chain instability, and rising inflation worldwide. These shocks are particularly severe for energy-importing and developing economies, contributing to slower global growth, higher food and commodity prices, and increased economic vulnerability across Asia. Myanmar faces especially deep impacts due to its heavy dependence on imported fuel (around 90–95% of supply), limited reserves, and fragile economic conditions; the crisis has led to rising fuel prices, shortages, currency depreciation, and increased costs of transportation, food, and agricultural production. As a result, the conflict is not only a geopolitical issue but also a major economic shock, disproportionately affecting vulnerable countries like Myanmar, where it intensifies inflation, threatens livelihoods, and exacerbates existing economic instability.

Summary

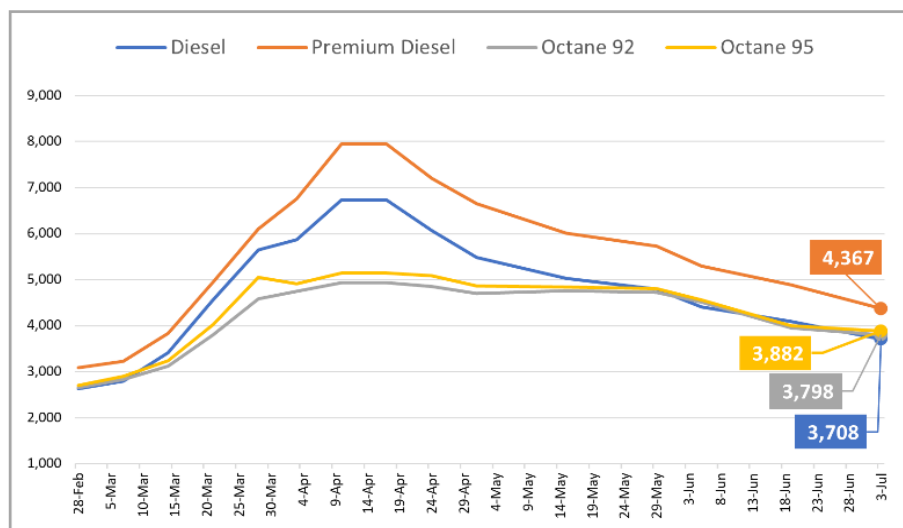
- **Food insecurity:** WFP estimates that if the conflict continues through Q2, at least 45 million additional people globally may face acute food insecurity, including over 9 million in Asia. In Myanmar, **a further 3.5–5 million people could become food insecure** due to this crisis, on top of the existing 12.4 million. The crisis is intensifying vulnerabilities, especially in conflict-affected and remote areas, as reduced agricultural output, rising prices, and market disruptions strain household food consumption and livelihoods.
- **Fuel prices:** Diesel prices have risen by an average of **45 percent** nationwide, with Yangon seeing a **42 percent** increase. Octane 95 has increased by **51 percent** on average, with spikes in Sittwe (up to nearly **eightfold**) and Myitkyina (**fivefold** compared to pre-crisis Yangon levels). Prices remain high but have gradually declined since late **April**.
- **Food basket cost:** As of early July, the average food basket cost is about **20 percent** higher than in late February, driven mainly by increases in rice, palm oil, and salt prices.
- **Conflict-affected areas:** Fuel shortages and price increases of under 60 percent since February have rationing, and transport restrictions, delaying the delivery of food, medicine, and aid. Roadblocks and insecurity continue to drive up staple food prices across Kachin, Kayin, Kayah, Sagaing, Rakhine, Magway, and Shan.
- **Agriculture:** Production costs remain high due to elevated prices of agricultural inputs, including fertilizer, fuel, seeds, and pesticides. Farmers in many regions continue to pay higher fertilizer prices than reference price because of transportation costs and supply chain constraints. In addition, irregular weather situation, labor shortages, limited access to affordable credit, and volatile crop prices continue to undermine agricultural productivity and farmers' incomes.

Fertilizer Supply Risks and Food Security

- Myanmar is highly dependent on imported fertilizers, which supply an estimated 85–95% of its chemical fertilizer needs, mainly from Oman, China, and the Middle East. This reliance makes the country especially vulnerable to current fertilizer supply risks caused by rising fuel prices and export restrictions by major producers, which are coinciding with the main rice planting season. Given agriculture's heavy dependence on fuel and imported urea, any shortages during the monsoon period could severely disrupt production. A 50% reduction in fertilizer use could lower national agricultural output by 10–15%, drive up rice prices, and exacerbate food insecurity, with fertilizer already representing the largest input cost for farmers.
- **Price outlook:** The fertilizer reference prices for July have not yet been announced. As of late June, the reference prices remained at MMK 120,000 per 50 kg for urea and MMK 115,000 per 50 kg for DAP in Yangon. However, market prices continue to exceed these reference levels in many areas, driven by regional supply disparities, persistent fuel shortages, and elevated transportation costs.

Affected on Myanmar Fuel price

The national average prices of diesel declined by 6% compared to the third week of June, while Octane 95 decreased by 2%. Despite these drops, both fuels remain significantly above the baseline reference prices established by the Myanmar Petroleum Regulatory Department. Overall average of Diesel and Octane95 are 45% and 51% above the baseline, respectively. Fuel prices are updated weekly, typically on Fridays, which continues to drive ongoing market fluctuations.



Data source: Myanmar Petroleum Regulatory Department

Price of diesel and Octane across the country and percentage increase

Week	Township	Yangon	Mandalay	Hpa-An	Mawla myaing	Loikaw	Dawei	Myitkyina	Sittwe	Sagaing	Magway	Taunggyi	Lashio
Feb Week 4	Diesel	2,482	2,592	2,567	2,900	2,627	2,612	7,500	6,500	2,632	2,597	2,602	2,637
	Octane95	2,395	2,505	2,480	2,605	2,540	2,530	7,900	15,000	2,545	2,515	2,520	2,555
June Week 3	Diesel	3,910	4,055	4,010	4,430	4,065	4,070	11,500	11,000	4,105	4,060	4,055	4,095
	Octane95	3,830	3,985	3,940	4,120	3,995	4,005	12,300	18,000	4,040	3,990	3,985	4,030
July Week 1	Diesel	3,535	3,680	3,635	4,020	3,695	3,700	11,500	11,000	3,730	3,685	3,680	3,720
	% up from pre-crisis	42%	42%	42%	39%	41%	42%	53%	69%	42%	42%	41%	41%
	Octane95	3,695	3,850	3,805	3,970	3,860	3,870	12,300	18,000	3,905	3,855	3,850	3,895
	% up from pre-crisis	54%	54%	53%	52%	52%	53%	56%	20%	53%	53%	53%	52%

Fig 1 Diesel and Octane price trends Myanmar

Fuel prices across major townships increased sharply between late February and the first week of July. Diesel prices showed a consistent upward trajectory, with averages in major urban area such as Yangon, Mandalay and across most other regions rising to beyond 40 percent above pre-crisis levels. By early July, diesel prices had surpassed around MMK 3,500 per liter in most areas, while remaining exceptionally elevated in Sittwe MMK 11,000 and Myitkyina MMK 11,500 per liter. Octane 95 a similar trend during the same period. Average prices across most regions increased from MMK 2,400 per liter in February to over MMK 3,600 per liter by July, representing over 50 percent rise compared to pre-crisis baselines. Regional disparities remained significant, with Octane 95 prices peaking at around MMK 18,000 per liter in Sittwe and remaining severely elevated at approximately MMK 12,300 in Myitkyina. *Note: Sittwe and Myitkyina fuel price reference from parallel market.*

Supply chain and import

- ❖ **Fuel reserves cover** - According to the Petroleum Products Supervision and Inspection Department **40 days of petrol and ~ 54 days of diesel**.
- ❖ **Rising logistics costs are contributing to higher staple food prices**, particularly rice and edible oil, with strongest impacts observed in fuel-dependent and remote markets such as Magway, Rakhine, Chin, Kachin and conflict affected areas.
- ❖ **Humanitarian supply chains remain fragmented**, with access constraints driven by insecurity, multiple checkpoints, and ad-hoc movement restrictions, increasing delivery times and operational costs.
- ❖ **Border trade continues to function as a critical supply route**, Although the Myanmar-Thai Friendship Bridge 2 (**Myawaddy-Mae Sot**) has reopened, trade remain only partially functional due to Myanmar export/imports licenses issues, Restrictions on the types of goods permitted and limits number of cargo trucks allowed to pass.
- ❖ **Informal and localized cross-border trade** continues to fill gaps in essential goods (fuel, food, household items), reflecting coping mechanisms amid constrained formal imports.
- ❖ **Logistics challenges and fuel mitigation**: The WFP-led Logistics Working Group continues to monitor humanitarian fuel needs. While fuel prices have declined from recent peaks and supply availability has improved, prices remain above pre-crisis levels, sustaining pressure on humanitarian logistics and transport costs.

Fuel and Transport- State and Region Situation

Yangon, Mandalay, Naypyidaw

Fuel prices have continued to decline gradually on week-on-week basis. Fuel stations continue under rationing measures, with public transport vehicles receiving priority access through a verification system and private vehicles subject to an odd-even license plate scheme. Fuel availability has allowed some stations sell fuel to motorcycles without applying the odd-even restriction. However, purchase limits remain unchanged.

Rakhine

Fuel price have remained stable in high prices. Fuel supply remains highly constrained, with irregular deliveries and restricted transport routes limiting access. Sittwe township in central Rakhine, rely on scarce, high-cost stocks. These disruptions continue to affect supply chains, livelihoods, and access to essential services.

Magway

Official reference fuel prices declined further in early July, reflecting improved supply conditions. However, parallel market prices remained significantly above official rates. Despite the decline in fuel prices, logistics costs remained elevated, as transport operators continued to face restrictions on cargo weight and commodity items, along with multiple checkpoint fees and transit charges.

Kachin

Fuel prices in Myitkyina remained stable compared with the last week of June. Commodity prices also remained elevated, as

frequent road blockages and disrupted supply chains and increased transport costs during the rainy season.

Sagaing

Fuel supply remains limited due to ongoing rationing measures. In the hard-to-reach areas, the situation is more severe. Rely on parallel markets residents who don't want to avoid long queues and waiting times. Fortunately, fuel prices are gradually decrease than fuel crisis.

Kayin

Fuel stations continue to operate regularly under strict rationing. However, parallel market prices persisted above official reference rates. Despite a gradual decline in fuel prices, local transportation costs remained elevated. Logistics costs along the Hpa-An-Myawaddy route also remain high driven by persistent supply bottlenecks.

Average food price comparison

Item	Before (4th week of Feb)	Current (week of 1 July)	% Change
Rice (kg)	1,924	2,275	18%
Palm oil (L)	8,046	9,602	19%
Chickpea (kg)	4,952	5,781	17%
Salt (kg)	1,738	1,930	11%
Food basket	42,390	51,011	20%

The provided data 11 states and regions and 26 townships.

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